

LUXEMBOURG 2016

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1. Overview of the system

The tax benefit system is largely a unified, national system. With some exceptions, contributory unemployment insurance can be paid for maximal 365 days in a period of 24 months. A social assistance (Revenu Minimum Garanti) is available only for people aged over 25 or for families with children. These social assistance recipients can also receive a housing aid. Universal family benefits are paid to families with dependent children. The tax system is progressive and based on the family income.

1.1. Average worker wage (AW)

The 2016 AW earnings level is EUR 56 197.174¹.

2. Unemployment insurance

Program name in local language		Indemnité de chômage
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 26 weeks out of last 12 months
Waiting period (days)		0
Maximum duration (months)		12
Up-rating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	80%
	benefit at the end of legal entitlement period in % of calculation base	80%
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	Wage income up to 10% of the benefit permitted, beyond 100% withdrawal of benefit
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: - if <21: benefit of 70% of minimum wage, - if <18: 40% of minimum wage if education not completed; + if 50 or more with longer contribution period: longer benefit duration
	family situation	85% replacement rate if dependent children
	contract type	0
	other	0

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part IV.

SM fait référence au Salaire Moyen estimé par le Centre de politique et d'administration fiscales (<http://www.oecd.org/ctp>). Pour plus d'informations sur la méthodologie, consulter *Les impôts sur les salaires 2009-2010*, OCDE, 2011, partie IV.

2.1 Conditions for receipt

The claimant has to be registered at the employment exchange (ADEM, “Agence pour le développement de l’emploi”), and to be available and fit for work. It is available for people aged between 16 and 64. Moreover, the claimant needs to be resident in Luxembourg.

The loss of the job must be involuntary.

2.1.1 Employment conditions

The claimant must have been employed for 26 weeks in the 12 months preceding unemployment at least for 16 hours a week.

If rights to unemployment benefits are exhausted, right opens once again after a period of 12 months which follows the end of rights if the condition of 26 weeks employment in that period is once again fulfilled.

2.1.2 Contribution conditions

The claimant must have been employed for 26 weeks in the 12 months preceding unemployment.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

A benefit of 80% of the average wage during the three months immediately preceding unemployment is increased to 85% if the beneficiary has dependent children. The maximum benefit level amounts to 250% of the social minimum reference salary for the first nine months, 200% afterwards (this was temporarily increased from 6 months beginning 17 August 2010 and until 31st December 2017). The social minimum reference salary is EUR 1922,96 per month as of 1st July 2016 (EUR 23 075,52 for the year 2016).

2.2.2 Income and earnings disregards

The benefit is not income tested any more.

Income from accessory work is compatible with the unemployment benefit as long as it does not exceed 10% of reference salary (3 months are taken for reference salary computation). If the income is higher than 10% of reference salary, the amount in excess is deducted from the benefit.

2.3 Tax treatment of benefit

Unemployment benefits are taxable. The tax base is the same as that for earned income, including the work related expenses allowance. Social contributions are due for health care, long term care and for pensions (old age, disability and survivors) (see section 10.3).

2.4 *Benefit duration*

The benefit is allocated during an equivalent period of time (calculated in months) as the working period fulfilled during the reference period taking in account for opening the right to unemployment allowance. The maximum benefit period is 365 calendar days in a 24-month period. The benefit is paid from the first day of unemployment; there is no waiting period. There may be prolongations for particular groups.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

Unemployed aged below 21 with completed education or less than 26 working weeks in the last 12 months are eligible for a benefit amounting up to 70% of the minimum wage. The benefit for unemployed without completed education under 18 years of age (16-17 years) is 40% of the minimum reference wage. The benefit is payable for 365 days (7 days per week) after a waiting period of 26 weeks (completed education period of 9 years at least) or 39 weeks. The minimum reference wage for workers was EUR 1 922,96 per month as of 1st July 2016.

2.5.2 *Older workers*

Unemployed 50 years old and more qualify for prolongation of the benefit period by 12, 9 or 6 months if the contribution period is 30, 25 or 20 years respectively (with a threshold of 150% of the minimum wage).

After 55 years of age, a prolongation of 6 months is granted without special conditions for unemployed hard-to-employ

Moreover, since 17th August 2010 and to the 31st December 2017, the following prolongations are possible:

- Unemployed aged 45 years and more, and having 20 years of affiliation at the social security system, qualify for a prolongation of 6 months.
- Unemployed aged less than 65 years, dismissed by a firm with partial unemployment benefits for at least 6 months at the moment of the dismissing, qualify for a prolongation of 6 months. Unemployed aged less than 65 years who lost their job following the giving up of business of the employer (due to death, physical impairment, or bankruptcy), qualify for a prolongation of 6 months.

2.5.3 *Disabled workers*

Unemployed aged between 16 and 49 years old qualify for prolongation of the benefit period by 6 months if the degree of disability is 30% at least. After 50 years of age, the additional 6 months are granted if the person has a disability of 15% at least.

Reference date for all information is **July 1st 2016 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.5.4 *Self-employed*

Self-employed job-seekers must have worked as self-employed during six months at least before inscription as job-seeker and give proof of an obligatory affiliation to the social security of Luxembourg (as wage earner or independent) of 2 years at least.

3. Unemployment assistance (Aides à la recherche d'emploi)

Les aides destinées surtout aux demandeurs d'emploi sont :
(<http://www.adem.public.lu/fr/demandeurs-demploi/beneficier-mesures-aides/index.html>)

3.1. Aide au réemploi

Le fonds pour l'emploi peut accorder une aide au réemploi en cas de reclassement dans un emploi comportant un niveau de rémunération inférieur à la rémunération antérieure.

3.1.1. Conditions for receipt

L'aide est accordée aux salariés résidents ou frontaliers d'entreprises dont le personnel a été rendu éligible à cette aide par voie d'autorisation ministérielle dans les cas de figure suivants :

- au salarié parti volontairement,
 - lorsque le chef d'entreprise a engagé les procédures de notification et de consultation concernant les licenciements collectifs;
 - lorsque l'entreprise a sollicité et obtenu l'application du régime d'indemnisation du chômage partiel;
 - lorsque l'entreprise se trouve placée sous le régime de la gestion contrôlée;
 - lorsque l'entreprise se trouve en voie de liquidation.
- au salarié licencié,
 - dans le cadre de mesures de redressement, de réorganisation ou de restructuration de l'entreprise;en cas de déclaration en état de faillite de l'employeur;
 - en cas d'incapacité physique ou de décès de l'employeur.
- au chômeur indemnisé.

Le **contrat de travail** doit remplir les conditions suivantes:

- contrat à durée indéterminée;
- contrat à durée déterminée pour 18 mois minimum, sauf en cas de remplacement d'un congé parental où la durée peut être inférieure;

3.1.2. Calculation of benefit amount

En cas de reclassement dans un emploi comportant un niveau de rémunération inférieur à la rémunération antérieure, l'aide au réemploi a pour but de garantir au bénéficiaire (salarié), compte tenu de la nouvelle rémunération perçue, une rémunération égale à 90% de la rémunération antérieure, plafonnée à 350% du salaire social minimum.

3.1.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.1.4. Benefit duration

L'aide au réemploi est due pendant une durée de 4 ans.

3.2. *Aide à la création d'entreprise*

Une aide à la création ou la reprise d'une entreprise légalement établie au Luxembourg et y exerçant ses activités peut être accordée par le Ministre ayant l'emploi dans ses attributions aux demandeurs d'emploi sans emploi.

3.2.1. Conditions for receipt

Peuvent bénéficier de cette aide:

- les chômeurs indemnisés depuis 3 mois au moins et âgés de 40 ans accomplis;
- les chômeurs indemnisés depuis 6 mois au moins;
- les demandeurs d'emploi inscrits à l'ADEM depuis 8 mois au moins et ayant accompli une carrière professionnelle de 6 ans au moins au Luxembourg, à condition que la dernière occupation ait été antérieure de moins de 3 mois à l'inscription comme demandeur d'emploi auprès de l'ADEM.

3.2.2. Calculation of benefit amount

L'aide correspond au montant capitalisé des indemnités de chômage complet auxquelles le demandeur aurait droit lors des 6 premiers mois qui suivent la prise de l'activité.

3.2.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.2.4. Benefit duration

Montant unique.

3.3. *Aide à la mobilité géographique des demandeurs d'emploi*

Le fonds pour l'emploi peut accorder une indemnité pour frais de déplacement dans le cas où le bénéficiaire réside en territoire luxembourgeois et est reclassé dans un emploi durable en territoire luxembourgeois à une distance supérieure à 15 km du lieu de sa résidence habituelle.

3.3.1. Conditions for receipt

L'aide est accordée aux personnes qui:

- sont demandeurs d'emploi sans emploi;
- ont leur résidence en territoire luxembourgeois;
- sont inscrits depuis au moins 3 mois auprès de l'ADEM;
- sont reclassés dans un emploi durable en territoire luxembourgeois.

Nature du contrat de travail:

- contrat à durée indéterminée à temps plein
ou
- contrat à durée indéterminée à temps partiel comportant une occupation régulière de 16 heures par semaine au moins auprès du même employeur
ou
- contrat à durée déterminée d'au moins 18 mois sauf en cas de remplacement d'un congé parental où la durée peut être inférieure et comportant une occupation régulière de 16 heures par semaine au moins.

3.3.2. Calculation of benefit amount

Kilomètres parcourus	Indemnité
de 16 à 20 km	61,97 €
de 21 à 30 km	74,37 €
de 31 à 40 km	99,16 €
de 41 à 50 km	123,95 €
supérieur à 50 km	136,34 €

3.3.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.3.4. Benefit duration

L'indemnité pour frais de déplacement est accordée pendant une période de 18 mois au maximum.

3.4. Contrat de réinsertion-emploi

3.4.1. Conditions for receipt

Demandeurs d'emplois indemnisés ou non âgés de 45 ans au moins, ou en reclassement externe ou ayant la qualité de salariés handicapés

3.4.2. Calculation of benefit amount

En cas de placement en contrat de réinsertion-emploi le chômeur indemnisé garde le bénéfice de son indemnité de chômage complet augmentée d'une indemnité complémentaire fixée à 323 euros à l'indice 775,17 et bénéficie de deux jours de congé par mois.

De même le demandeur d'emploi bénéficiant d'une indemnité d'attente, d'une indemnité professionnelle d'attente ou du revenu pour personnes gravement handicapées en garde le bénéfice augmenté d'une indemnité complémentaire fixée à 323 euros à l'indice 775,17 et bénéficie de deux jours de congé par mois.

Au cas où son indemnité de chômage, son indemnité d'attente, son indemnité professionnelle d'attente ou son revenu pour personnes gravement handicapées est inférieure au niveau du salaire social minimum pour salariés non qualifiés, le demandeur d'emploi touche une indemnité versée par l'Agence pour le développement de l'emploi à charge du Fonds pour l'emploi et égale au salaire social minimum pour salariés non qualifiés augmentée d'une indemnité complémentaire fixée à 323 euros à l'indice 775,17.

Le demandeur d'emploi ne bénéficiant pas de l'indemnité de chômage complet touche une indemnité versée par l'Agence pour le développement de l'emploi à charge du Fonds pour l'emploi et égale au salaire social minimum pour salariés non qualifiés et bénéficie de deux jours de congé par mois.

3.4.3. Tax treatment of benefit and interaction with other benefits

L'indemnité est soumise aux charges sociales et fiscales prévues en matière de salaires, la part patronale étant prise en charge par le Fonds pour l'emploi.

3.4.4. Benefit duration

Le contrat de réinsertion-emploi prend fin en cas de placement dans un emploi approprié et au plus tard après 12 mois.

3.5. Contrat d'appui-emploi

L'objectif de ce type de contrat est d'offrir au jeune demandeur d'emploi de moins de trente ans accomplis une initiation et/ou une formation pratique et théorique en vue d'augmenter ses compétences et de faciliter son intégration voire sa réintégration sur le marché du travail. Sont visés les promoteurs n'ayant pas la forme juridique d'une société commerciale au sens de la loi modifiée du 10 août 1915 concernant les sociétés commerciales.

3.5.1. Conditions for receipt

- être âgé de moins de 30 ans accomplis;
- être inscrit depuis au moins trois mois à l'ADEM.

3.5.2. Calculation of benefit amount

Le jeune demandeur d'emploi bénéficiaire d'un CAE, âgé de moins de 18 ans, touche une indemnité égale à 80% du salaire social minimum qui lui reviendrait en cas d'occupation comme salarié non qualifié.

Le jeune demandeur d'emploi bénéficiaire d'un CAE âgé plus de 18 ans touche une indemnité égale à 100% du salaire social minimum qui lui reviendrait en cas d'occupation comme salarié non qualifié.

Cette indemnité est portée à 130% du salaire social minimum pour les jeunes demandeurs d'emploi détenteurs d'un brevet de technicien supérieur respectivement d'un diplôme de bachelor ou master.

3.5.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.5.4. Benefit duration

La durée initiale du CAE est de 12 mois et peut être prolongée sur décision du Directeur de l'ADEM, de 6 mois. La durée hebdomadaire est de 40 heures.

3.6. Contrat d'initiation à l'emploi

Ce contrat, réservé aux promoteurs qui peuvent offrir au jeune demandeur d'emploi une réelle perspective d'emploi à la fin du contrat, a pour finalité d'assurer au jeune pendant les heures de travail une formation pratique facilitant l'intégration sur le marché du travail.

3.6.1. Conditions for receipt

- être âgé de moins de 30 ans accomplis ;
- être inscrit depuis 3 mois à l'ADEM.

3.6.2. Calculation of benefit amount

Le jeune demandeur d'emploi bénéficiaire d'un CIE âgé de moins de 18 ans touche une indemnité égale à 80% du salaire social minimum qui lui reviendrait en cas d'occupation comme salarié non qualifié.

Le jeune demandeur d'emploi bénéficiaire d'un CIE âgé plus de 18 ans touche une indemnité égale à 100% du salaire social minimum qui lui reviendrait en cas d'occupation comme salarié non qualifié.

Cette indemnité est portée à 130% du salaire social minimum pour les jeunes demandeurs d'emploi détenteurs d'un brevet de technicien supérieur respectivement d'un diplôme de bachelor ou master.

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3.6.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.6.4. Benefit duration

Le contrat est conclu pour une durée de douze mois (prolongation possible de 6 mois par décision du Directeur de l'ADEM).

4. Social assistance

The main element is the *Guaranteed Minimum Income* (RMG, guaranteed minimum income). The RMG consists in granting

- either an “indemnité d’insertion” (integration benefit),
- or an “allocation complémentaire” (complementary benefit),
- or an “indemnité d’insertion” and an “allocation complémentaire”

Program name in local language		Revenu minimum garanti
Minimum age condition for social assistance receipt		25 (except if dependent children)
Legal behavioural requirements	Registration as unemployed(2)	Yes
	Participation in integration measures	Yes
	Active job search(2)	Yes
	Work requirement(2)	Yes
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Uprating mechanism of the benefit		ad hoc
Other supplements to basic benefit (per family)		Rent assistance (see table on housing benefit) and expensive life allowance (Allocation de vie chère)
Means-test for social assistance	Earnings disregards	(Work) income of 30% of benefit disregarded
	Benefit withdrawal rate with regard to earned income	100% withdrawal beyond disregard
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment benefit (family benefit and school expenses allowance only with regard to expensive life allowance)
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: +50% second adult, +28.6% per supplementary adult, +9.1% per child
	over time	0
	other	0

4.1 *Conditions for receipt*

Each person aged between 25 and 60 years who is able to work full-time has to apply for an “indemnité d’insertion”. The “indemnité d’insertion” is a gross income either paid for

- the preparation and assisted search for a paid work,
- community service work in the public sector,
- a professional training in the private sector.

People raising children, in charge of a dependent person or unable to work full-time may benefit of a reduction of the working hours.

The “allocation complémentaire” is intended to complete the difference between the maximum of the RMG due according to the family type (see section 4.2.1.) and the gross income of the family.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The gross amount of the “indemnité d’insertion” is equivalent to the hourly rate of the minimum wage multiplied by the number of hours the person has to supply. The minimum wage as of 1st July 2016 is EUR 1922,96 per month, for a full-time job (40 hours a week/173 hours a month).

The amount of the “allocation complémentaire” is the difference between the RMG below and the amount defined in section 4.2.2.

Family type	RMG (EUR per month)	Percentage of first adult payment
	1 July 2016	
First adult	1 348,18	100
Second adult	674,09	50
Supplementary adult	385,73	28,6
Child supplement	122,56	9,1

4.2.1.1 *Additional payments*

The National Solidarity Fund (Fonds National de Solidarité) will grant on demand for the year 2016 an “allocation de vie chère” for every resident in Luxembourg with limited income, as long as the annual gross income of the family type does not exceed the limits fixed below. The annual gross income limits for 2016 are fixed as:

Family with	Global annual	Augmentation per indice courant au	Global annual
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	revenu n.i. 100	person	01.01.2016	revenu
1 person	2 988		7,7517	23162,08
2 persons	4482	1 494	7,7517	34743.12
3 persons	5378.40	896,40	7,7517	41691.74
4 persons	6274.8	896,40	7,7517	48640.36
5 persons	7171.2	896,40	7,7517	55588.98
6 persons	8067.6	896,40	7,7517	62537.60
7 persons	8964	896,40	7,7517	69486.22
8 persons	9860.4	896,40	7,7517	76434.84
9 persons	10756.8	896,40	7,7517	83383.46
10 persons	11653.2	896,40	7,7517	90332.08

Est considéré comme revenu annuel global l'ensemble des revenus bruts annuels dont le demandeur seul ou la communauté domestique demanderesse a disposé pour l'année de calendrier précédant l'année au cours de laquelle l'allocation est demandée. Sont notamment à déclarer:

- le revenu provenant d'un travail régulier ou généralement d'une activité professionnelle quelconque, à l'exception toutefois des indemnités et salaires promérités par des enfants ouvrant droit à des allocations familiales ;
- les revenus de remplacement dus au titre de la législation luxembourgeoise ou étrangère ;
- les revenus de biens mobiliers et immobiliers ;
- les rentes et pensions ;
- les allocations ou prestations touchées de la part d'un organisme public ou privé ;
- les pensions alimentaires.

The "Allocation de vie chère" for 2016 is fixed as:

- 1 320 EUR for a single person
- 1 650 EUR for a family type of 2 persons
- 1 980 EUR for a family type of 3 persons
- 2 310 EUR for a family type of 4 persons
- 2 640 EUR for a family type of 5 persons and more.

In case the above gross income limit is exceeded, the benefit of a reduced allowance is possible.

The monthly gross income limits for 2016 for the reduced "allocation de vie chère" are fixed as:

for a single person	1930,18 – 2 040,16 €
for a family type of 2 persons	2 895,27 – 3 032,75 €
for a family type of 3 persons	3 474,32 – 3 639,30 €
for a family type of 4 persons	4 053,37 – 4 245,85 €

for a family type of 5 persons	4 632,43 – 4 852,41 €
for a family type of 6 persons	5 211,48 – 5 431,46 €
for a family type of 7 persons	5 790,53 – 6 010,51 €
for a family type of 8 persons	6 369,58 – 6 589,56 €
for a family type of 9 persons	6 948,63 – 7 168,61 €
for a family type of 10 persons	7 527,69 – 7 747,67 €

Calculation method:

The allowance will be reduced by the equivalent amount exceeding the fixed income limits.

Example:

Yearly allowance for 1 person: 1 320/(12) EUR = 110 EUR monthly allowance.

Monthly gross income: 1 950 EUR (1 950 – 1 930,18 = 19,82)

Reduced monthly allowance will be: 110 – 19,82 = 90,18

Reduced allowance for 2016 will be 1 082,16 EUR (90,18* 12 = 1 082,16)

The “allocation de vie chère” allowance is tax free, sickness contribution free and long term care contribution free.

4.2.1.2 *Obligations of family members*

There is no such obligation.

4.2.2 *Income and earnings disregards*

Gross income from whatever source is included in the income test, but an amount of 30% of the RMG by family type is disregarded. Family benefits are not considered as income for the social assistance means test.

In practice 130% of RMG (according to family type) is the income test limit. The “allocation complémentaire” which is a complement to the personal gross income is due as long as a person is eligible for granting for the RMG. No assistance is paid once the 130% limit is passed.

4.3 *Tax treatment of benefit*

Taxable. Full social security contributions are payable with the “indemnité d’insertion” whereas for the “allocation complémentaire” and the RPGH, in general only the sickness contributions and long term care contributions are payable. Pensions contributions are paid by the “Fonds national de solidarité” for those beneficiaries of an “allocation complémentaire” who have already a period of insurance of at least 25 years in the general

pension scheme. The difference between the social minimum reference salary and the beneficiary's professional income is the taxes base.

4.4 *Benefit duration*

The “allocation complémentaire” stops as soon as gross income of the household exceeds 130% of RMG.

The contract of the “indemnité d’insertion” is not renewed if gross income exceeds 130% of RMG.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

People under 25 do not qualify for RMG unless they have dependent children, are responsible for a dependent person or unable to work.

4.5.2 *Older workers*

Old age workers over 60 years do not need to be available for the labour market any longer. Their revenue is totally based on the “allocation complémentaire”.

4.5.3 *Other groups, including disabled*

Disabled persons can opt for the RMG or for another social assistance program, which follows similar rules as the RMG and which is called RPGH (=“revenu pour personnes gravement handicapées”). It has the following conditions of receipt:

- être âgée de 18 ans au moins
- présenter une diminution de la capacité de travail de 30 % au moins par suite d’une déficience physique, mentale, sensorielle ou psychique ; la déficience doit être acquise avant l’âge de 65 ans
- présenter un état de santé tel qu’il s’avère impossible d’adapter un poste de travail dans le milieu ordinaire ou protégé à ses besoins
- avoir l’autorisation de résider au Luxembourg, y être domiciliée et y résider effectivement. Par ailleurs, les ressortissants non communautaires doivent se prévaloir d’un séjour légal de 5 ans au cours des vingt dernières années.

The revenues of the person are considered as follows: Sont considérés comme revenus pour déterminer la prestation, les revenus professionnels et les revenus de remplacement dont bénéficie le titulaire dans le cadre de la législation luxembourgeoise ou étrangère. Ces

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revenus sont immunisés jusqu'à concurrence de 30 % du revenu pour personnes gravement handicapées. The amount is the same as the amount of the « allocation complémentaire » in the RMG for 1 adult, with the same deductions of contributions and taxes, and the same rules for restitution.

Program name in local language		Revenu pour personnes gravement handicapées
Minimum age condition for social assistance receipt		18
Legal behavioural requirements	Registration as unemployed(2)	No
	Participation in integration measures	No
	Active job search(2)	No
	Work requirement(2)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Uprating mechanism of the benefit		...
Other supplements to basic benefit (per family)		Rent assistance (see table on housing benefit) and expensive life allowance (Allocation de vie chère)
Means-test for social assistance	Earnings disregards	(Work) income of 30% of benefit disregarded
	Benefit withdrawal rate with regard to earned income	100% withdrawal beyond disregard
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment benefit
Benefit provision (eligibility (E), generosity (G)) varies with	age	18
	family situation	N.A.
	over time	0
	other	0

5. Housing benefits

Since the 1st January 2016, a new housing benefit called “subvention de loyer” (rent subsidy) has been introduced. As no cumulation of the rent subsidy and the rent housing for social assistance recipients (majoration RMG) is possible, only a “subvention de loyer” can be obtained by beneficiaries of the social assistance (RMG or RPGH) in case of a new application or a modification of the financial/family situation as of 1st January 2016. However, beneficiaries of the social assistance (RMG or RPGH) having received the so-called housing benefit for social assistance recipients (majoration RMG) before the introduction of the “subvention de loyer” continue to receive it after the 1st January 2016 as long as no change concerning the family or the financial situation is observed (transitory arrangement).

5.1 Conditions for receipt

Regular housing benefits	Program name in local language		<i>Subvention de loyer</i>
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	Yes, must be located in the Grand-Duchy of Luxembourg
		Actual rental cost	Yes
	Description of regular housing benefit		The “ <i>subvention de loyer</i> ” concerns households (applicant must be 18 years old and more) living in Luxembourg with low income and who rent or wish to rent a dwelling on the private market (households who rent social housing are excluded from this benefit). Furthermore, the rent must exceed more than 33% of the net disposable income and the applicant must not be owner of a dwelling in Luxembourg or abroad. According to the household composition and the income, the monthly amount of the “ <i>subvention de loyer</i> ” varies between 124 EUR and 273 EUR but may not exceed the rent paid by the household.
	Upgrading mechanism of the benefit		Ad hoc
Housing related support through other benefits		No	

5.2 Calculation of benefit amount

The “*subvention de loyer*” is calculated according to:

- the net disposable income of the household,
- the composition of the household,
- and a reference rent the amount of which is depending on the household composition and defined according to the theoretical optimal needs by type of households.

Amount as of 1st January 2015 (in force in July 1st 2016)

Type of household	Low income threshold : net disposable income (EUR/month)	Reference rent (EUR/month)	Maximum amount of the “ <i>subvention de loyer</i> ” (EUR/month)
1 person	1 768	846	124
Household without children	2 652	927	124
Household with 1 child	3 183	1 089	149
Household with 2 children	3 713	1 249	174
Household with 3 children	4 244	1 463	199
Household with 4 children	4 774	1 816	224
Household with 5 children	5 304	2 034	248
Household with 6 children	5 835	2 170	273
+ for each subsequent child	+ 531	+ 125	+ 0

The amount of « *subvention de loyer* » is calculated with the following formula:

$SL = Lo - (0,33 \times Y_{net})$ where:

- SL is the amount of the « *subvention de loyer* »;
- Lo is the reference rent depending on the household composition;
- 0,33 is the reasonable theoretical affordability ratio of the household for the rent;
- Y_{net} is the net disposable income.

The net disposable income represents the sum of:

- the net incomes referred to in article 10 of the income tax (that means gross income subjected to income tax less professional expenses (minimum of EUR 540 (multiply by 2 in case of two wage earners in the household) or EUR 300 for the RMG/RGPH or any pension (multiply by 2 in case of two pension beneficiaries) less special deductions (minimum of EUR 480 (multiply by 2 only in case of two wage earners in the household))) less social contributions and less income tax,
- family allowances except the new year school allowance;

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- child-raising allowance;
- maternity allowance;
- parental leave benefit;
- received alimony;
- accident at work pension;
- gross wage for overtime hours worked.
- child bonus (boni pour enfant);
- expensive live allowance (allocation de vie chère).

Paid alimony are deducted from the net disposable income.

5.3 *Treatment of particular groups, including disabled*

People living in an institution, who are unable to pay for their room and services, can get, under certain conditions, the “prestations dans le cadre de l’accueil g rontologique”.

6. Family benefits

Program name (local name in parentheses if available)			Family benefit	School expenses allowance (Allocation rentrée scolaire) Reference date is 1 st August 2016	Child bonus (Boni pour enfant)
Type of benefit			Universal	Universal	Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17 (26)	17 (26)	17 (26)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No	No	No
Uprating mechanism of the benefit			...	...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	+	+	0
		Number of children	+	0	++
	Earnings disregard		n.a.	n.a.	n.a.
	Withdrawal rate		n.a.	n.a.	n.a.
	Assets part of means test?		...	...	...

6.1 *Conditions for receipt*

Family benefits are paid only to families with dependent children under 18 (or under 27 if still in secondary education (“secondaire classique” and “secondaire technique”); higher education, such as university studies, are excluded since 2010).

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Family size	Rate (EUR per month) 1 July 2016
One child	185,60
Two children	440,72
Three children	802,74
Supplement per child from the fourth one	361,82
Supplement per child aged 6-11	16,17
Supplement per child 12+	48,52

6.2.2 *Allocation de rentrée scolaire*

Luxembourg also pays a schooling expense allowance in August of each year for all children aged six and older who is either in the primary school or the secondary school.. Since the 1st August 2016, the rules concerning this allowance have changed. So, due to the fact this allowance is paid in August, the month before the new school year, the rules and the amount presented below concern the ones applied in August 2016.

For each child over age six, the allowance is 115 EUR/year and 235 EUR/year for each child age 12 or older. Contrary to before, the amounts do not more vary with the size of the sibling.

6.2.3 *Income and earnings disregards*

Not means-tested.

6.3 *Tax treatment of benefit*

Family benefits are not taxable.

6.3.1 *“Boni pour enfant”*

A partir de 2008, chaque famille soumise à l'impôt au Luxembourg qui est bénéficiaire d'allocations familiales a droit à une nouvelle prestation, appelée "boni pour enfant". Le boni représente une "*bonification d'office*", en d'autres termes une attribution automatique, sous forme de prestation, de la modération d'impôt pour enfant, déduite

jusqu'ici de l'impôt à payer, et a le double caractère d'une mesure fiscale et d'une prestation familiale. Il est également attribué aux familles qui n'ont pas pu profiter de la modération d'impôt dans le passé (voir 10.1.1. Children tax credit). En 2008, le boni est versé en une seule fois pour toute l'année. Le montant est fixé à 922,50 Euro par enfant. A partir du mois de janvier 2009, le boni pour enfants est versé mensuellement. Le montant mensuel est fixé pour chaque enfant bénéficiaire d'allocations familiales à 76,88 EUR. Avec l'introduction du versement mensuel, le boni est désormais versé exclusivement pour les mois pour lesquels un droit aux allocations familiales est ouvert. Ainsi, en pratique, le critère principal pour l'obtention du boni pour enfants est l'attribution des allocations familiales. Le boni pour enfants devient donc, à partir de 2009, une prestation familiale, et perd son caractère de mesure fiscale. Le montant ainsi que la périodicité sont inchangés depuis 2011.

6.4 *Treatment of particular groups, including disabled*

Disabled children can get the « allocation spéciale supplémentaire », which amounts to 185,60 EUR/month, and which is added to the family benefits.

7. Garde d'enfant pour les enfants d'âge préscolaire / Childcare for pre-school children

7.1 Education précoce

L'école est obligatoire à partir de 4 ans. L'Éducation précoce est destinée aux élèves ayant atteint l'âge de 3 ans. L'encadrement des élèves est assuré par une équipe pédagogique et éducative comprenant un/une instituteur/institutrice de l'éducation préscolaire ainsi qu'un deuxième intervenant (généralement un/une éducateur/éducatrice).

L'introduction de l'Éducation précoce, instaurée en 1998, était progressive jusqu'à la rentrée scolaire 2009/2010. À partir de cette date elle est obligatoire pour chaque commune, l'inscription des élèves restant toutefois facultative pour les parents.

Au cours de l'année 2015/2016, le nombre total des groupes dans l'Éducation précoce s'élevait à 227 avec un total de 4183 élèves (enseignement public). Il s'agit des élèves ayant fréquenté l'éducation précoce dès le début de l'année scolaire, ainsi que des élèves qui sont entrés au cours de l'année scolaire. L'effectif moyen par groupe s'élevait en 2015/2016 à 18,4 élèves. À noter cependant que selon les plages de fréquentation hebdomadaires de l'enfant, les groupes-classes de l'éducation précoce sont souvent organisés en sous-groupes. Les écoles privées et internationales accueillaient en 2015/2016 314 élèves dans l'éducation précoce.

7.2 Garde d'enfants hors de l'école

7.2.1. Out-of-pocket childcare fees paid by parents

Rather than opting for an overall increase in family allowances for each child, the government introduced a measure called "childcare-service vouchers" (Chèque-service accueil – CSA) in March 2009. The service voucher is an allowance paid in kind rather than in cash and represents a new type of public benefit for children and their families.

The old system of fee determination has been replaced by the "childcare-service vouchers". The "childcare-service vouchers" scheme introduces the same criteria for all service providers as regards parents' financial contributions. Before its introduction, the criteria could vary from one municipality to another, from one service provider to another.

Childcare-service-voucher

The system aims at subsidizing parental financial contribution, encouraging access to non-formal education.

In 2016, childcare services are offered by approximately 1400 different providers such as:

- Childcare centres (publicly subsidized or not – "Services d'éducation et d'accueil" for children from 0-12)
- Child minders ("assistants parentaux")
- Holiday organisations

- Music schools in the communal sector,
- Sport associations

However, since September 2016, alternative methods of subsidizing have been put in place for children who attend holiday organisations, music schools or sport associations. The application of the childcare vouchers system is limited to childcare centres and childminders.

Children are eligible to child care vouchers if they are aged 0-12 or still in primary education. When the scheme was first implemented (March 2009), a condition of residence in Luxembourg was introduced. This condition has just been lifted for September 2016 (billed voted in February 2016).

Approximately 45 000 children of a prospective population of 82 000 benefit from the child care vouchers (take-up rate of 55%) by the end of 2015. Parents wishing their children to benefit from the "childcare-service voucher" scheme need to register with their Commune.

In March 2009, when the scheme was first implemented, the child care cost was subsidized up to 7.50€ per hour ; the maximum number of hours subsidized was 60 hours per week. The extent of the subsidy varied according to the income of the household and the rank of the child among siblings eligible to family allowances; each child was however entitled to at least three free hours per week.

In the context of budget consolidation measures, the government decided to modify the system in 2012, decreasing the maximum value of hourly subsidy (from 7.50€ to 6.00€) for settings in the private sector, and suppressing the three free hours per week for families with income higher than 3.5 times the minimum wage (see the Annex for more details on parents' contributions).

Children exposed to the risk of poverty and/or threatened by social exclusion are more specifically targeted by the scheme. The criteria for identifying children exposed to the risk of poverty are those living in households where there is a low level of income, excessive indebtedness, extraordinary costs, illness of one of the household members and the best interests of the child (principle stipulated by article 3 of the UN Convention on the Rights of the Child, 1989).

These children are entitled to a higher number of hours per week free of charge (respectively 25 or 15 instead of 3).

See detailed information in Annexe.

7.2.2. Allocations de garde d'enfant pour les services de garde formel / Child-care benefits for formal centre-based care

Il n'existe pas d'allocations en espèces reçues par les parents dont les enfants sont inscrits dans un système de garde d'enfant.

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7.3 *Child care allowance for children not using child care centres*

Children not using their service vouchers in child care centres could use them (until September 2016) in music schools run by municipalities or in sport associations which have been delivered a special agreement by the Ministry of Sports.

The income had to be determined as only households with an income inferior to 3,5 times the minimum wage could benefit from service vouchers in the domains of sports and music.

8. Employment-conditional benefits

8.1 Parental leave, introduced from 1 January 1999.

8.1.1 Conditions of receipt

The Law of 12 February 1999 creates an individual (and non-transferable) entitlement to take six months full-time parental leave or 12 months half-time for any parent raising a child under five at home. The parent must have been working without interruption for at least 20 hours/week for the same employer in the year preceding the child's birth immediately. The employment contract is simply interrupted, with the worker returning to his job once the period of parental leave has elapsed.

8.1.2 Calculation of benefit amount

8.1.2.1 Calculation of gross benefit

- 100%: EUR 1 778,31 per month.
- 50%: EUR 889,15 per month.

8.1.2.2 Income and earnings disregards

None.

8.1.3 Tax treatment of benefit

- Not taxable. The sickness and the long term care contributions are payable whereas the old age contribution is financed by the State.

9. Lone-parent benefits

There are no lone parent benefits, but single-parents receive a refundable tax credit of EUR 750 per annum (see section 10).

10. Tax system

Luxembourg has a progressive tax scheme with 19 rates varying between 0 and 40 per cent since 2013. Tax calculation is based on the splitting method.

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

Tax allowances:

- Professional expenses are deductible with a minimum of EUR 540. This minimum is deductible by default if there are no greater expenses. For income from RMG (SA), the tax allowance on professional expenses amounts to EUR 300. Someone who is receiving SA and is working at the same time is eligible for the tax allowances of EUR 540 and 300. In this case, the total tax allowance amounts to EUR 840. However, the amount of each tax allowance cannot exceed the amount of the related income.
- Like other taxpayers, wage-earners having no special expenses (interest charges, insurance premiums or contributions other than for social security) may take a standard deduction of EUR 480 for special expenses. Social security contributions are deductible in their entirety, except long term care insurance.
- If both spouses have earned income and are taxed jointly, they qualify for an earned income allowance of EUR 4 500. The taxpayer obtains, on request, abatement on the taxable income for child care expenses (abatement for inevitable extraordinary charges). The amount of the abatement corresponds to the part of the extraordinary charges exceeding the following percentages of taxable income.

Taxable income (EUR per year)	Class 1		Class 1A or Class 2				
		Number of children					
		0	1	2	3	4	5
< 10 000	2%	0	0	0	0	0	0
10 000 – 20 000	4%	2%	0	0	0	0	0
20 000 – 30 000	6%	4%	2%	0	0	0	0
30 000 – 40 000	7%	6%	4%	2%	0	0	0
40 000 – 50 000	8%	7%	5%	3%	1%	0	0
50 000 – 60 000	9%	8%	6%	4%	2%	0	0
> 60 000	10%	9%	7%	5%	3%	1%	0

- The taxpayer can also obtain a standard abatement for childminding expenses of EUR 3 600 per year. In this case the taxpayer has to renounce to the abatement for inevitable extraordinary charges for child care expenses. The standard abatement cannot exceed the amount of the real expenses nor EUR 300 per month.

Tax credits:

- A tax credit of EUR 300 per annum for wage-earners, pensioners and those receiving taxable replacement incomes (including sickness, maternity and unemployment allowances).
- Single-parents receive tax credit of EUR 750 per annum.

10.1.2 *The definition of taxable income*

The definition depends on family type, see section 10.1.3.

Taxable income is rounded to the nearest lower multiple of EUR 50 before applying the tax schedule.

10.1.3 *The tax schedule*

Income tax is determined on the basis of the following schedule (amounts in EUR):

0 % for the portion of income less than	11 265		
8 % for the portion of income between	11 265,00	and	13 173,00
10 % for the portion of income between	13 173,00	and	15 081,00
12 % for the portion of income between	15 081,00	and	16 989,00
14 % for the portion of income between	16 989,00	and	18 897,00
16 % for the portion of income between	18 897,00	and	20 805,00
18 % for the portion of income between	20 805,00	and	22 713,00
20 % for the portion of income between	22 713,00	and	24 621,00
22 % for the portion of income between	24 621,00	and	26 529,00
24 % for the portion of income between	26 529,00	and	28 437,00
26 % for the portion of income between	28 437,00	and	30 345,00
28 % for the portion of income between	30 345,00	and	32 253,00
30 % for the portion of income between	32 253,00	and	34 161,00
32 % for the portion of income between	34 161,00	and	36 069,00
34 % for the portion of income between	36 069,00	and	37 977,00
36% for the portion of income between	37 977,00	and	39 885,00
38% for the portion of income between	39 885,00	and	41 793,00
39% for the portion of income between	41 793,00	and	100 000,00
40% for the portion of income exceeding	100 000,00		

- Single persons' taxable income (class 1) is taxed directly using the schedule.
- For couples taxable income is first halved. The tax liability is then calculated as for single persons, but the tax actually paid is double this amount (tax class 2).

- For widow(er)s, taxpayers with a dependent child allowance and persons over 64 years of age (class 1A), tax is calculated as follows: the schedule is applied to adjusted taxable income reduced by half of the difference between that amount and EUR 45 060, with the marginal tax rate capped at 40%.
- Income tax as determined by the applicable schedules is subject to a 7 % “solidarity” surtax to finance the unemployment insurance scheme. The rate is 9 % for the taxable income exceeding 150.000€ (tax classes 1 and 1a), respectively 300.000€ (tax class 2).

10.2 *Treatment of family income*

Spouses and partners are taxed jointly on their income.

10.3 *Social security contribution schedule*

Wage earners pay 3,05% sickness² scheme contributions and 8% pension scheme contributions on their gross earnings between EUR 1 922,96 per month (EUR 23 075,52 per year) and EUR 9 614,82 per month (EUR 115 377,84 per year). For replacement earnings, sickness insurance contribution rate is 2,80%. Long term care insurance is financed by

²

Unification of legal status of wage earners

The generalization of the continued pay in case of sickness

From January 1st, 2009, the continuation of the wage is generalized to all private sector wage earners. It follows a model similar to that in effect for private employees before 2009: The average employer compensates the first thirteen weeks of sickness, health insurance intervening for the remaining compensation period.

Mechanism of the continued pay in case of sickness

On the one hand, the generalization of the continued pay in case of sickness increased the obligation of employers occupying former “manual workers”. On the other hand, contributions paid by the former « manual workers » and their employers for the management of cash benefits for health insurance decreased.

The generalization of wage continuation leads to a reduction of the obligation of employers occupying former « private employees » and a rise of the contributions paid by former employees and their employers for the management of cash benefits for health insurance.

Creating an Employers’ mutual insurance company and a “worker differential rate” (*différentiel ouvrier*)

To meet the sectoral imbalances in terms of absenteeism and guarantee a better distribution in the risk for the first 13 weeks to be financed by employers, a mutual insurance company is created. The institution is attached to the Social Security. It reimburses 80% of the amount of financial compensation payable by the employer. The Employers’ mutual insurance company is financed by a contribution paid by employers. The contribution rate differs according to risk classes. In 2016:

Risk class	1	2	3	4
Financial absenteeism rate	<0,65%	<1,60%	<2,50%	>=2,50%
Contribution rate	0,46	1,21	1,85	2,93

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special contribution of 1,4% levied on professional earnings, replacement earnings and income from property (an amount of 1/4 of the social minimum reference salary is not taken into account for (EUR 480,26 per month in 2016)).

Compulsory social security contributions to schemes operated within the government sector in 2016

	Employer's share (%)	Employee's share (%)	Ceiling on contributions (in EUR)
a) Pension and disability insurance	8	8	(9 614,80 x 12 =) 115 377,60
b) Health insurance	3,05	3,05	Same ceilings as a)
1. payment in kind	2,80	2,80	
2. sickness benefit	0,25	0,25	
c) Dependency insurance		1,40	No ceiling, but monthly disregarded amount of 480,26
d) Health in the workplace	0,11		
e) Accident insurance ³	1,00		Same ceilings as a)
f) Employers' mutual insurance company	*)		*)Rate varies according to the financial absenteeism rate

A temporary budget balancing tax, the “impôt d'équilibre budgétaire temporaire” (IEBT), was introduced for the year 2015. The tax rate of 0.5% will be withheld on all categories of income (professional and replacement income and non-professional income, except on supplements for overtime) for all individuals affiliated to the Luxembourg social security system, less a deduction of the social minimum wage (Salaire social minimum). This measure was introduced for the tax years 2015 and 2016.

All employees and retirees in Luxembourg (with the exception of public officials) have to belong to the Chamber of Employees (“Chambre des salaires”) regardless of their nationality or place of residence. Annual dues are automatically withheld by the employer or by the Pension Insurance which allow the Chamber to carry out its various activities and missions. The contributions were fixed at EUR 31 between 2009 and 2015 for every employee who earns a gross monthly salary of EUR 300 or more and this contribution is included in the calculations. There are reduced contributions of EUR 10 for employees with lower levels of earnings and EUR 4 for apprentices. This non-tax compulsory employee payment is withheld by the employers jointly with the withholding tax on salaries. For the year 2016, the same amounts than those fixed for the period 2009-2015 have been applied.

3. From 2011 on, the accident insurance contribution rate is the same for all risk classes.

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11. Part-time work

11.1 *Special benefit rules for part-time work*

Unemployment insurance benefits are reduced if part-time earnings exceed a certain percentage of the social minimum wage. Part of the earnings from part-time employment is disregarded in the social assistance means test for a period of 2 years.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

Rent subsidy (« Subvention de loyer »): introduced the 1st January 2016

The temporary budget balancing tax of 0.5% will be abolished for 2017.

Capital gains on dwellings or land will be temporary be taxed at 25% (instead of 50%) of the personal income tax rate for the period from 01-07-2016 to 31-12-2017.

Rates of the contributions to the Employers' mutual insurance company have changed the 1st January 2016

Contrat de réinsertion-emploi : introduced the 1st January 2016

12.2 Policy changes introduced since 1st July 2016

Reform of the family benefits introduced the 1st August 2016 (Loi du 23 juillet 2016 portant modification 1. du Code de la sécurité sociale; 2. de la loi modifiée du 4 décembre 1967 concernant l'impôt sur le revenu, et abrogeant la loi modifiée du 21 décembre 2007 concernant le boni pour enfant): Main changes are :

- Individualisation of the family allowances (no more family group), i.e. the boni is merged with the family allowance, and a unique amount of family allowance is paid per child born as from 1 August 2016 (265 EUR/month/child) with a supplement of 20 EUR/month/child for children between 6 and 11 and 50 EUR/month/child for children between 12 and 25.
- Increase of the supplementary family allowances for disabled children from 185,6 EUR/month to 200 EUR/month).
- Maximum age for family allowances and new-school year allowance decreased from 27 to 25.
- Individualisation of the new-school year allowance (no more family group) (115 EUR/year/child aged 6 to 11 and 235 EUR/year/child aged 12 and more)

Reform of the parental leave introduced the 1st December 2016 (Loi du 3 novembre 2016 portant réforme du congé parental et modifiant 1. le Code du travail; 2. le Code de la sécurité sociale; 3. la loi modifiée du 4 décembre 1967 concernant l'impôt sur le revenu; 4. la loi modifiée du 16 avril 1979 fixant le statut général des fonctionnaires de l'Etat; 5. la loi modifiée du 24 décembre 1985 fixant le statut général des fonctionnaires communaux; 6. la loi modifiée du 14 mars 1988 portant création de congés d'accueil pour les salariés du secteur privé; 7. la loi modifiée du 12 février 1999 portant création d'un congé parental et d'un congé pour raisons familiales; 8. la loi modifiée du 31 juillet 2006 portant introduction d'un Code du travail):

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- Benefit : switch from a flat-rate amount to a capped amount function to the wage (the benefit is now considered as a replacement rate and is subjected to social contributions and income tax as a wage)
- More form of parental leave according to the number of hours worked before the parental leave

Childcare vouchers:

- Since September 2016, children aged 0-12 whose parents are cross-border workers (i.e. children living mainly in Belgium, France or Germany) are entitled to childcare vouchers, as long as they are cared for in a setting in Luxembourg. The children were until then excluded from the eligible population, but the condition of country of residence has been removed.
- Moreover, childcare vouchers are targeted only on childcare services since September 2016: children attending music associations or sports associations cannot claim these vouchers any longer. Alternative methods of subsidizing have been put in place.

2017 tax reform: policy changes introduced by the end of 2016 for 2017 and the following years :

- Modified tax table: Increase of the PIT rate by 1% for taxable income between EUR 11 265 and EUR 20 625 and by 2% for taxable income between EUR 20 625 and EUR 45 897. A 39% rate is applied for income above EUR 45 897, a 40% rate for income above EUR 100 002, a 41% rate for income above EUR 150 000, and a 42% rate for income above EUR 200 004. Change in the tax bracket width (currently at EUR 1 908). The width is reduced to EUR 1 872 between EUR 11 265 and EUR 20 625, the width is increased to EUR 1 944 between EUR 20 625 and EUR 100 002.
- Mortgage interest paid on an owner-occupied dwelling will be deductible up to EUR 2 000 in the first 5 years (compared to EUR 1 500 currently); up to EUR 1 500 in the 5 following years (compared to EUR 1 125 currently); and up to EUR 1 000 for the remaining term of the loan (compared to EUR 750 currently).
- The deemed rental income for owner-occupied dwellings will be set to 0
- The existing tax credit of EUR 300 for employees, self-employed people and pensioners will increase progressively until it is capped at EUR 600 per year for taxpayers earning between EUR 11 265 and EUR 40 000. For taxpayers earning between EUR 40 000 and 80 000, the tax credit will decline progressively. Taxpayers earning more than EUR 80 000 will not benefit anymore from the tax credit.
- The existing tax credit of EUR 750 for single parents with children will be increased to EUR 1 500 per year for taxpayers earning up to EUR 35 000. For taxpayers

earning between EUR 35 000 and EUR 105 000, the tax credit will decline progressively. For taxpayers earning more than EUR 105 000, the tax credit will remain at its current level of EUR 750.

- The mono-parental tax credit is to be reduced by 50% of the amount of the allowances from which the child benefits, in so far as they exceed the annual amount of EUR 2 208 or the monthly amount of EUR 184. the old limits were EUR 1 920 and EUR 160 respectively.
- The rental income from social organisations, such as the national social accomodation agency, will be exempt up to 50%.
- Increase of the withholding tax on interest from 10% to 20%.
- The tax allowance for home purchase savings plans for young taxpayers (under 40 years old), will be doubled from EUR 672 to EUR 1 344.
- The tax allowance granted for complementary pension schemes will be set at EUR 3 200 for all taxpayers. The past system with a progressive allowance ranging from EUR 1 500 to EUR 3 200 depending on the taxpayer's age is abolished.
- The deductibility for consumer loans and for insurance and legal responsibility will be aggregated under one category and limited to EUR 672.
- The deductibility for domestic costs will be increased from EUR 3 600 to EUR 5 400.
- The current value of the meal vouchers will be increased from EUR 8.40 to EUR 10.80
- The allowance for extraordinary expenses for children not living in the household will be increased from EUR 3 480 to EUR 4 020.
- A EUR 5 000 tax allowance will be granted for the purchase of an electric or hydrogen-powered car. The tax allowance is EUR 300 for the purchase of a pedelec or bicycle.
- In case of a car lease granted by the employer to the employee, the taxation will be based on the valuation of the benefit in kind increased by a progressive rate depending on the amount of CO2 emitted. The rate ranges from 0.5% (0g CO2/km) to 1.7% (petrol cars with CO2 emssions > 150g/km), respectively 1.8% (diesel cars with CO2 emissions > 150g/km).
- Fight against tax fraud, for instance: higher administrative fines, enhancement of criminal investigation department, mandatory regular book-keeping for liberal

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professions, extension of the cooperation between the judicial authorities for the spontaneous exchange of tax related information

- Introduction of the option to file separate tax returns for married couples. **(from 2018)**
- The tax regime of non-resident married couples will be aligned on that of resident taxpayers, both in terms of tax classes and applicable tax allowances **(from 2018)**

Increase of the amount of the minimum wage (salaire social minimum) the 1st January 2017: from 1922,6 EUR/month to 1998,59 EUR/month.

Increase of the amount of the minimum income (RMG) the 1st January 2017:

Family type	RMG (EUR per month)	
	1st July 2016	1st January 2017
First adult	1 348,18	1401,18
Second adult	674,09	700,62
Supplementary adult	385,73	400,93
Child supplement	122,56	127,37

Increase of the amount of the heavy disabled person (RPGH) the 1st January 2017: from 1348,18 EUR/month to 1401,18 EUR/month

Increase of the upper limit of the annual income for obtaining the “allocation de vie chère” the 1st January 2017:

	1 st July 2016	1 st July 2017
for a single person	23162,08	24062,89
for a family type of 2 persons	34743,12	36076,33
for a family type of 3 persons	41691,74	43284,4
for a family type of 4 persons	48640,36	50492,47
for a family type of 5 persons	55588,98	57700,54
for a family type of 6 persons	62537,60	64908,61
for a family type of 7 persons	69486,22	72116,68
for a family type of 8 persons	76434,84	79324,75

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for a family type of 9 persons	83383,46	86532,82
for a family type of 10 persons	90332,08	93740,89

ANNEXE

The price the parents have to pay is defined by law. It is based on the household taxable income, as certified by the most recent tax return or the last three months' payslips accompanied by a certificate confirming that the person concerned is not subject to any duty to submit a tax return or in the absence of these, any other document stating the current income. Equal consideration is given to couples, whether they are married or live in registered partnership. Siblings taken into account in order to determine the rank of the child are those eligible to family allowances.

The parents' financial contribution is calculated following six different scales. There are 3 different categories of scales: public funded childcare centres, commercial childcare centres and child minders. The categories are then subdivided in a scale for school aged (4-12) children and a scale for non schooled (0-4) children.

For example the scale for a public funded childcare centre for school aged children

Catégorie de bénéficiaires	Ran g enf.	Tarif chèque- service (max.)	Tarif socio- familial (max.)	Plein tarif (max.)	Repas princ.
<i>Enfants exposés au risque de pauvreté</i>	1	0,50	-	7,50	Gratuit
	2	0,30	-	7,50	Gratuit
	3	0,15	-	7,50	Gratuit
	4 +	Gratuit	-	7,50	Gratuit
<i>Revenu ménage < 1,5 x SSM</i>	1	0,50	0,50	7,50	0,50
	2	0,30	0,30	7,50	0,50
	3	0,15	0,15	7,50	0,50
	4 +	Gratuit	Gratuit	7,50	0,50
<i>Revenu ménage < 2,0 x SSM</i>	1	1,00	1,50	7,50	1,00
	2	0,70	1,10	7,50	1,00
	3	0,35	0,55	7,50	1,00
	4 +	Gratuit	Gratuit	7,50	1,00
<i>Revenu ménage < 2,5 x SSM</i>	1	1,50	2,50	7,50	1,50
	2	1,10	1,80	7,50	1,50
	3	0,55	0,90	7,50	1,50
	4 +	Gratuit	Gratuit	7,50	1,50
<i>Revenu ménage < 3,0 x SSM</i>	1	2,00	3,50	7,50	2,00
	2	1,50	2,60	7,50	2,00
	3	0,75	1,30	7,50	2,00
	4 +	Gratuit	Gratuit	7,50	2,00
<i>Revenu ménage < 3,5 x SSM</i>	1	3,00	4,50	7,50	3,00
	2	2,30	3,30	7,50	3,00
	3	1,40	1,65	7,50	3,00
	4 +	Gratuit	Gratuit	7,50	3,00

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<i>Revenu ménage < 4,0 x SSM</i>	1	3,50	5,50	7,50	3,00
	2	2,70	4,10	7,50	3,00
	3	1,60	2,05	7,50	3,00
	4 +	Gratuit	Gratuit	7,50	3,00
<i>Revenu ménage < 4,5 x SSM</i>	1	4,00	6,50	7,50	4,50
	2	3,20	4,80	7,50	4,50
	3	2,10	2,40	7,50	4,50
	4 +	Gratuit	Gratuit	7,50	4,50
<i>Revenu ménage ≥ 4,5 x SSM</i>	1	4,00	7,50	7,50	4,50
	2	3,20	5,60	7,50	4,50
	3	2,10	2,80	7,50	4,50
	4 +	Gratuit	Gratuit	7,50	4,50
<i>Sans indication sur le revenu</i>	1	4,00	7,50	7,50	4,50
	2	3,20	5,60	7,50	4,50
	3	2,10	2,80	7,50	4,50
	4 +	Gratuit	Gratuit	7,50	4,50

The value of the SSM (salaire social minimum) is EUR 1922.96 on January 1 2016.

Any credit for hours per week cannot be carried forward from one week to another.

Children exposed to the risk of poverty and/or threatened by social exclusion are more specifically targeted by the child care voucher scheme. They are entitled to a higher number of hours free of charge. The criteria for identifying children exposed to the risk of poverty are those living in households where there is a low level of income, excessive indebtedness, extraordinary costs, illness of one of the household members and the best interests of the child (principle stipulated by article 3 of the UN Convention on the Rights of the Child, 1989).

Methods of identification are as follows:

- initiative from a request for intervention by the relevant local Commune, school, a psycho-socio, socio-educational or medical-social department, general practitioner, parents or legal guardians, or from the child themselves
- favourable opinion of a psycho-social, socio-educational or medical-social department
- motivation and documentation of the relevant decision

Examples:

1.The tariff per hour for a second child in a household earning EUR 4 500/month (i.e. with an income smaller than 2.5 minimum wage) will be as follows:

- first 3 hours/week are free of charge
- 4-24 hours/week: EUR 1,10 (Service voucher tariff)
- 25-60 hours/week: EUR 1,80 (Socio-family tariff)

- >60 hours: EUR 7,5 (full tariff)
- Main meal: EUR 1,50

2. Children living in households who might be at risk of social exclusion (beneficiaries of the minimum wage) or exposed to the risk of poverty

- 25 first hours/week are free of charge
- 26-60 hours/week: EUR 0,50 (Service voucher tariff)=> second child EUR 0,30 etc
- >60 hours: EUR 7,5 (full tariff)

**THE COLLEGE OF ALDERMEN IDENTIFIES THE RELEVANT DEPARTMENT
OR DIVISION RESPONSIBLE FOR THIS PURPOSE.**

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.